
Theme 4: Global business

Overview

In this theme, students develop their understanding of the concepts introduced in Theme 1 and explore business activity in a global context.

Students will need to build upon the knowledge, skills and understanding developed in Theme 1 in Theme 4, making connections across these two themes in Paper 1, and across Themes 1, 2, 3 and 4 in Paper 3. Teaching approaches to content must reflect this.

Students will need to apply their knowledge and understanding to both familiar and unfamiliar contexts in the assessments and demonstrate an awareness of current business issues.

Content

Students investigate businesses that trade on a global scale and explore their reasons for doing so. Students develop an understanding of the globally competitive environment and consider the ethical and moral dimensions of global business activities.

Students must investigate different types and sizes of organisation in various business sectors and environments, and in local, national and global contexts.

To develop their knowledge, skills and understanding in business, students need to have acquired competence in quantitative skills that are relevant to and applied in the context of this theme (see *Appendix 3: Quantitative skills*).

4.1 Globalisation

Subject content	What students need to learn:
4.1.1 Growing economies	a) Growth rate of the UK economy compared to emerging economies b) Growing economic power of countries within Asia, Africa and other parts of the world c) Implications of economic growth for individuals and businesses: - o trade opportunities for businesses - o employment patterns d) Indicators of growth: - o Gross Domestic Product (GDP) per capita - o literacy - o health - o Human Development Index (HDI)
4.1.2 International trade and business growth	a) Exports and imports b) The link between business specialisation and competitive advantage c) Foreign direct investment (FDI) and link to business growth
4.1.3 Factors contributing to increased globalisation	a) Reduction of international trade barriers/trade liberalisation b) Political change c) Reduced cost of transport and communication d) Increased significance of global (transnational) companies e) Increased investment flows (FDI) f) Migration (within and between economies) g) Growth of the global labour force h) Structural change
4.1.4 Protectionism	a) Tariffs b) Import quotas c) Other trade barriers: - o government legislation - o domestic subsidies
4.1.5 Trading blocs	a) Expansion of trading blocs: - o EU and the single market - o ASEAN - o NAFTA b) Impact on businesses of trading blocs